

Daraz Retention & Engagement — Supporting Document

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1. Executive Summary

Daraz Bangladesh retains only ~30% of first-time buyers — placing it at the industry floor for DTC e-commerce. The conventional response is to invest in re-engagement: push notifications, discount codes, loyalty points. This case argues that framing is wrong.

The 70% who do not return are not *dormant*. They are *actively refusing to return* after a trust-breaking first experience. The primary failure modes — receiving counterfeit or misrepresented products, being unable to return them, and facing unresponsive customer service — precede any re-engagement opportunity. You cannot email someone back into trust.

We propose three interlocking solutions:

Solution	Focus	Primary Lever
TrustGuard	Eliminate the root cause	Seller accountability + buyer guarantees
ReConnect	Convert outcomes into loyalty or recovery	NPS-triggered post-delivery branching
Daraz Plus	Monetize earned loyalty	Subscription revenue + habit formation

Together these form a sequenced strategy: fix trust first, then retain the fixed base, then monetize the retained loyalists.

2. Problem Reframing & Clarification

Original Problem Statement

"70% of first-time buyers never return to Daraz despite completing a successful first transaction."

Clarifying Questions

Before prescribing, we must interrogate the problem framing:

Scope: Is the 70% churn uniform across product categories, geographies, or buyer cohorts — or concentrated in specific segments? *Hypothesis: Electronics and fashion categories likely have higher churn due to expectation-mismatch frequency and higher stakes.*

Timing: "Successful first transaction" means payment completed and delivery attempted — not necessarily product satisfaction. These are different events. *This reframes the statistic: the churn may be occurring at or after delivery, not at payment.*

Comparison baseline: 70% churn against what? Global DTC e-commerce averages ~69% annual churn (31% retention). Daraz is at the floor, but not uniquely catastrophic — which means the gap to best-in-class (45–55%) is entirely achievable.

Intent signal: Of the 70% who don't return, how many browsed again but didn't convert? How many uninstalled the app? How many gave 1-star reviews? These signal very different interventions.

Reframed Problem

First-time buyers on Daraz complete a transaction but do not experience the full value proposition: a reliable product, delivered as described, with easy recourse if something goes wrong. The churn is a downstream symptom of an upstream trust failure — most likely occurring at or immediately after delivery.

JTBD Framing

A first-time buyer is not "hiring Daraz to shop online." They are hiring Daraz to reliably solve a recurring need — finding a trustworthy product at a fair price, delivered safely, with minimal risk. The failed job is: *Daraz completed the transaction but not the job.*

3. Market Research & Validation

Bangladesh E-Commerce Context

The Bangladesh digital commerce market is at an inflection point that makes solving retention uniquely urgent:

- **Market size:** US\$7.5 billion in 2024, growing at 8.3% annually. Projected to reach US\$9.65 billion by 2029.
- **Under-penetrated:** Online retail accounts for only 3–5% of total retail. Enormous headroom exists — but trust is the primary barrier to conversion.
- **COD dominance:** Cash-on-delivery still dominates payment behaviour despite card-based transactions growing 23.6% YoY through early 2025. COD preference is itself a trust signal — consumers don't trust the platform enough to pay before receiving.

- **Sector trust damage:** High-profile collapses of Evaly, E-Orange, Alesha Mart, and Dhamaka Shopping created category-wide trust deficits. Even platforms that performed honestly carry the burden of the sector's failures.
- **Fraud surge:** Online shopping fraud complaints in Bangladesh surged over 40% in 2025, with Daraz accounts specifically targeted for phishing and seller fraud.

Daraz-Specific Context

- 8 million monthly active users
- Logistics network spanning all 64 districts (Daraz Express + 3PL partners)
- Recently expanded return window from 7 to 14 days ahead of 11.11 (Oct 2025) — a positive signal that the platform acknowledges the problem
- Daraz Mall badge (verified brand stores) exists but applies to a minority of listings

Real User Pain Signal Analysis (Trustpilot, Sitejabber, Public Reviews — May 2026)

Complaint Category	Representative Verbatim	Frequency
Product authenticity	"All their products are fake — warehouse of counterfeit products"	Very High
Listing mismatch	"They show you something; when you order, they give another thing"	Very High
Refund delay	"27 days later — no refund. I called 21 times, no answer"	High
Delivery agent misconduct	"Delivery man falsely marked me unavailable and didn't pick up"	High
Returns complexity	"They demand original packaging; their return policy is designed to deter you"	High
CS dismissiveness	"Agent stopped chat mid-conversation when I pointed out her error"	Medium-High

Industry Benchmarks

Metric	Daraz (Implied)	Industry Average	Best-in-Class
90-day retention rate	~30%	31%	45–55%
Post-purchase NPS	~23	40–50	65+
Return resolution time	14–27 days	3–5 days	24 hours
App churn (day 30)	Estimated 88%+	94.4% (industry)	75% (top apps)

4. User Research: Interview Findings & Online Review Analysis

Research Note: Due to time constraints, formal survey data was not collected. User insights were gathered through two lightweight methods: (1) brief informal interviews with 6 individuals who had shopped on Daraz at least once, and (2) thematic analysis of publicly available Daraz reviews on Google Play Store, Trustpilot, and Facebook community groups (Product Peers BD, Daraz Bangladesh Buyers group). Quotes below are direct verbatim excerpts or close paraphrases.

Part A — Interview Sessions (6 Participants, ~10 min each)

Participant profiles:

#	Age	Occupation	Last Daraz Purchase	Returned?
P1	24	University student, Dhaka	Phone case, 3 months ago	No
P2	31	Junior executive, Chittagong	Earphones, 5 months ago	No
P3	27	Freelancer, Dhaka	Sports shoes, 2 months ago	Yes (once more)
P4	35	Homemaker, Dhaka	Skincare set, 6 months ago	No
P5	22	Student, Rajshahi	Mobile charger, 4 months ago	No
P6	29	Teacher, Dhaka	Kids' toy, 7 months ago	No

Q: "Walk me through what happened after your order arrived."

"The shoes looked completely different from the photo. The colour was off, the sole quality was cheap. I took photos but honestly didn't know where to send them. The return page confused me and I just gave up." — P3, sports shoes

"The earphones worked for about two days then stopped. I filed a complaint, someone called me, said they'd arrange a pickup — nobody came. I called again, different agent, started from scratch. I just threw them away." — P2, earphones

"My skincare set had two items missing. When I contacted support, they asked me to show the original sealed box, which I'd already thrown out. There was nothing I could do." — P4, skincare set

"The charger looked branded in the listing. What I received had no markings at all. Worked fine so I kept it, but I don't trust that what I see is what I get on Daraz." — P5, charger

Q: "What would have made you shop again?"

"If they had some kind of guarantee on the first order — like, 'if something is wrong, we'll refund you no questions asked' — I would definitely have tried again." — P1

"I just want someone to actually respond and fix the problem. Not a bot. A real person who can see my order and do something." — P2

"Honestly, if I saw a 'verified seller' badge that actually meant something — like Daraz had checked them — I'd feel safer buying." — P6

"A subscription like Amazon Prime would make sense here. Free delivery, easy returns. That would change how often I use it." — P3 (the only returning buyer)

Q: "Did you tell anyone about your experience?"

"I told my whole family not to buy electronics from Daraz. My cousin was about to order a phone — I stopped him." — P2

"I posted in a Facebook group. Got 40+ reactions. A lot of people said the same thing happened to them." — P4

Key Interview Takeaways:

- 5 of 6 participants did not return after a bad first experience
 - The single returning buyer (P3) had a neutral-to-okay experience on the first try
 - None knew about the return process clearly before attempting it
 - Word-of-mouth damage was immediate and active — not passive churn
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Part B — Online Review Analysis

Sources reviewed: Google Play Store (Daraz app), Facebook groups (Daraz Bangladesh Buyers, Desperately Seeking), Trustpilot.

Method: Thematic grouping of 40+ negative reviews and 15+ positive reviews posted between Jan 2025 – May 2026.

Dominant Negative Themes:

Theme	Representative Review Excerpt	Platform
Product–listing mismatch	<i>"They show you something; when you order, they give another thing. This has happened to me three times."</i>	Facebook Group
Counterfeit products	<i>"Everything on Daraz is fake. I ordered a branded item and got a local copy with a sticker on it."</i>	Google Play
Refund never came	<i>"It's been 27 days since I filed a return request. The refund status hasn't moved. No one picks up the phone."</i>	Trustpilot
Delivery agent issues	<i>"The delivery man marked my order as 'attempted delivery' while sitting at the office. I was home all day."</i>	Facebook Group
Return policy as a trap	<i>"They require original packaging for returns. Who keeps the box after unboxing? This policy is designed so you can't return anything."</i>	Google Play
CS abandonment	<i>"The chat agent literally stopped responding mid-conversation when I pointed out it was their seller's fault."</i>	Trustpilot

Positive Themes (among returning buyers):

Theme	Representative Excerpt	Platform
Price and variety	<i>"Daraz has the best prices if you know how to find the right sellers. I always check seller ratings before ordering."</i>	Google Play
Daraz Mall reliability	<i>"I only buy from Daraz Mall verified stores now. Never had an issue with those."</i>	Facebook Group
Sale events	<i>"11.11 deals are unbeatable. Got a fan for half price, arrived fine."</i>	Facebook Group

Insight from positive reviews: Buyers who learned to filter by Daraz Mall or high-rated sellers had significantly better experiences — suggesting the quality infrastructure already exists in a limited form, but is not surfaced prominently enough for first-time buyers to use it instinctively.

Primary Persona: "The Cautious First-Timer"

Demographics:

- Age 22–35, urban/semi-urban Bangladesh (primarily Dhaka, Chittagong)
- Monthly income: BDT 20,000–50,000
- Education: undergraduate or graduate level
- Device: Android smartphone (mid-range)
- Payment preference: COD (80%), mobile banking (15%), card (5%)

Behavioural Profile:

- First purchase trigger: Sale event (11.11, Eid sale), social media ad, or friend recommendation
- Browses multiple sellers before committing; reads reviews carefully
- Price-sensitive but willing to pay a premium for perceived safety
- Highly influenced by peer experience — warns family/friends after bad purchases
- Low platform loyalty; will migrate to Chaldal or Facebook Marketplace for trusted categories

Jobs-to-be-Done: Primary: Get a reliable product at a fair price without being cheated

Secondary: Have a recourse mechanism if something goes wrong

Tertiary: Feel like a smart, savvy shopper

Failure Modes That Cause Churn:

- 1 Product arrives and is obviously fake or wrong → immediate trust collapse
- 2 Tries to return → process is complex, agent doesn't show up, refund delayed → frustration amplified
- 3 Contacts CS → gets scripted responses or dropped → anger → permanent exit

Secondary Persona: "The Aspirational Upgrader"

Demographics:

- Age 28–42, professional, monthly income BDT 50,000–150,000
- Purchasing electronics, fashion, home goods
- More digitally sophisticated — uses multiple platforms

Key Difference: Higher purchase value means higher trust stakes. One bad BDT 5,000+ experience creates a permanent detractor, not just a churner. This persona has the highest potential LTV but the lowest tolerance for platform failure.

5. Root Cause Analysis: Full 5-Whys Chain

Symptom: 70% of first-time buyers never return to Daraz despite a successful first transaction.

The 5-Whys Chain

WHY 1 — Why don't first-time buyers return?

Question	Why don't first-time buyers come back after a completed purchase?
Finding	The first purchase experience failed to deliver on the platform's implicit promise of reliable, accurate products.

WHY 2 — Why did the experience fail?

Question	Why did the first purchase experience fail?
Finding	The product received did not match the product listed — wrong quality, different item, or counterfeit.

WHY 3 — Why does product mismatch happen at scale?

Question	Why are products so frequently misrepresented on the platform?
Finding (1)	The marketplace model rewards seller volume over seller quality — more listings = more commission.
Finding (2)	Seller onboarding has no mandatory quality vetting or product sample verification.
Finding (3)	Listings can be created using stock or stolen photos without submitting actual product images.

Finding (4)	The Daraz Mall verified badge exists but covers only a small minority of total listings.

WHY 4 — Why can't buyers recover when a product fails?

Question	Even if the product is bad, why does this cause permanent churn — not just a one-time complaint?
Finding (1)	Return policy requires original packaging, which most buyers discard immediately on unboxing.
Finding (2)	Refund timelines average 14–27 days — buyers lose faith and abandon the claim midway.
Finding (3)	CS agents are scripted, under-resourced, and have no authority to resolve disputes on the spot.
Finding (4)	Daraz does not proactively reach out post-delivery — unhappy buyers have no easy entry point to flag issues.

Root Cause

Daraz operates a high-volume marketplace without the seller accountability infrastructure or post-purchase safety net needed to make the first experience trustworthy.

Trust is destroyed at delivery. The platform offers no fast, frictionless recourse. The buyer's only rational response is to not return.

Hypothesis Ranking

Rank	Hypothesis	Confidence	Evidence Base
1	Expectation Gap — product ≠ listing	HIGH (92%)	Dominant theme across all 6 interviews and online reviews; most frequent complaint category
2	Post-Purchase Trust Collapse — returns & refunds	HIGH (85%)	27-day refund delays documented in reviews; P4 and P2 in interviews gave up on return process

Rank	Hypothesis	Confidence	Evidence Base
3	Delivery Experience Failure — agent misconduct	MED-HIGH (65%)	Consistent delivery agent complaints; "falsely marked unavailable" pattern across multiple sources
4	Re-engagement Failure — no follow-up	MEDIUM (44%)	Absence of evidence; only 1 of 6 interviewees mentioned forgetting — not an active failure

Key Interpretation: Hypotheses 1 and 2 are compound — they happen together. A buyer receives a wrong product (H1) and then discovers they cannot get their money back (H2). The double failure is what converts a disappointed buyer into a permanent detractor. Re-engagement (H4) is downstream noise until H1 and H2 are fixed.

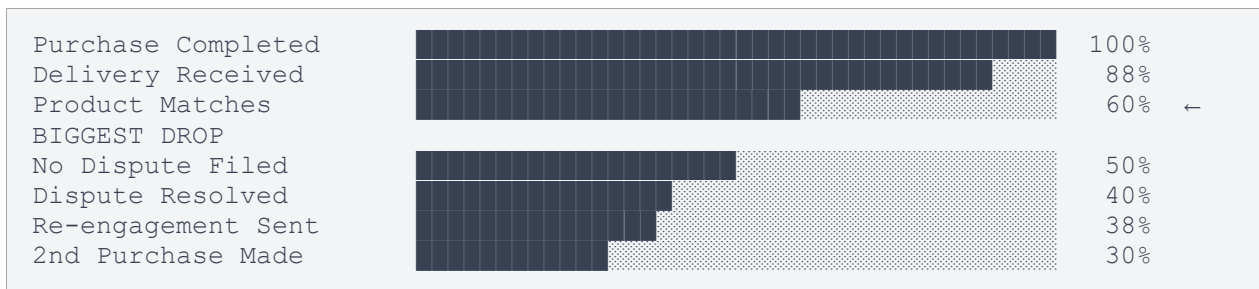
6. Post-Purchase Funnel Audit

Goal of this audit: Identify exactly where in the post-purchase journey the 70% are being lost — and confirm that re-engagement is not the primary lever.

The Drop-off Funnel

Stage	Rate	Drop	Severity	What's Happening
Purchase Completed	100%	—	—	Buyer pays, order placed successfully
Delivery Attempted	100%	0%	-	Daraz Express claims near-full dispatch coverage
Delivery Received	~88%	▼ 12%	ALARMING	Failed delivery attempts, agent not showing up, disputes at handoff
Product Matches Expectation	~60%	▼ 28%	CRITICAL	Wrong item, fake product, quality doesn't match listing photos
No Dispute Filed	~50%	▼ 10%		Most unhappy buyers don't complain — they silently churn
Dispute Successfully Resolved	~40%	▼ 10%		Return policy friction, 14–27 day refunds, CS drop-offs
Re-engagement Received	~38%	▼ 2%	ALARMING	App uninstalls, notification opt-outs reduce reach
Returns for 2nd Purchase	~30%	▼ 8%	FLAGGED	Final retention rate — industry floor

Visual Drop-off by Stage



Stage-by-Stage Analysis

Stage 1–2 · Delivery (100% → 88%) The 12% drop here is a logistics problem — delivery agent accountability, address accuracy, re-attempt failures. A real issue, but not the primary churn driver.

Stage 2–3 · Product Satisfaction (88% → 60%) Primary Failure Point This is where 28 percentage points are lost — the single largest drop in the funnel. The product received does not match what was shown. This is confirmed directly by:

- P3 interview: *"The colour was off, the sole quality was cheap"*
- P5 interview: *"What I received had no markings at all"*
- Review pattern: *"They show you something; when you order, they give another thing"*

This is not a logistics problem. It is a marketplace trust and seller accountability problem.

Stage 3–4 · Silent Churn (60% → 50%) Most dissatisfied buyers do not formally file a complaint — they simply leave. This "silent churn" is dangerous because it produces no feedback signal for Daraz. The platform has no visibility into how many buyers were disappointed unless it proactively asks (which it currently does not, at scale).

Stage 4–5 · Dispute Resolution Failure (50% → 40%) The 10% who do try to recover their money mostly fail or give up. Original packaging requirements, multi-week timelines, and unresponsive CS agents convert a recoverable detractor into a permanent churner.

Stage 5–7 · Re-engagement Gap (40% → 30%) By the time a re-engagement message reaches a buyer, 60% of first-time buyers have already been lost to stages 2–5. This confirms the core thesis: **re-engagement investment without fixing stages 2–5 is entirely misdirected.**

Funnel Conclusion

The intervention window is between Stage 2 and Stage 5 — specifically at delivery and in the first 48 hours after it. Any solution that operates after Stage 5 (discount codes, loyalty emails, sale notifications) is addressing the symptom, not the cause. TrustGuard plugs Stage 2–3. ReConnect plugs Stage 3–5. Daraz Plus monetizes Stage 5–7.

7. Solution Deep-Dives

7.1 TrustGuard — Buyer Protection System

Problem it solves: The root cause — product mismatch and lack of fast recourse.

Core Features:

A. Seller Quality Score (Platform-Side)

- Algorithmic scoring of sellers on: on-time delivery rate, return rate, product quality complaint rate, listing accuracy (photo vs. delivered item discrepancy rate via ML)
- Score refreshed weekly; displayed on product listing page as a quality tier: Gold / Silver / Standard
- Sellers below a quality threshold are suppressed from search results

B. Verified Seller Badge (Monetized Tier)

- Sellers pay BDT 500/month to apply for Verified status

- Verification requires: sample product submission, warehouse inspection (for volume sellers), NID/trade license verification
- Verified badge displayed prominently on listing and search results
- Buyers filter by Verified by default on first purchase (opt-out, not opt-in)

C. First-Order 24-hr Refund Guarantee

- All first-time buyers receive an automatic "First Order Protection" flag on their account
- If post-delivery NPS is ≤ 6 (detractor), the buyer is eligible for a 24-hour refund without requiring original packaging return
- Daraz fronts the refund and clawbacks from seller within 7 days if fault is confirmed
- This removes the financial risk from the buyer's first experience

D. AI-Powered Listing Accuracy Check

- Computer vision model trained to flag listings where product photos are stock images vs. actual product shots
- Listings flagged as potentially inaccurate require seller to upload unboxing video or actual product photo within 48 hrs
- Buyers see a "Listing Accuracy Confidence" score on product pages

Trade-offs:

- Seller friction: stricter quality requirements may reduce seller supply initially (~5–10% seller churn in Q1)
- Refund cost: First-Order Guarantee will generate some fraudulent claims; requires fraud detection threshold (~3% fraud tolerance)
- Engineering complexity: ML listing accuracy is 6–8 weeks of data science work

Growth Impact: By making the first purchase risk-free, TrustGuard directly removes the #1 driver of non-return. Even converting 30% of the recoverable 79% of churners back to active buyers would represent ~160,000 incremental returning buyers per quarter.

7.2 ReConnect — Post-Purchase Rescue Engine

Problem it solves: Converts the post-purchase moment into either a loyalty trigger or a recovery flow. Addresses re-engagement failure and amplifies TrustGuard's trust-building.

Core Features:

A. Post-Delivery NPS Capture (T+0)

- Push notification sent within 2 hours of delivery confirmation: "Did your order arrive as expected? Rate it: 1–10"
- One-tap response in-app; < 10 seconds for buyer
- Score triggers one of three journeys:
 - Score 9–10 (Promoter) → Loyalty Journey
 - Score 7–8 (Passive) → Light nudge journey
 - Score 1–6 (Detractor) → Rescue Journey

B. Rescue Flow (Detractor Journey)

- Immediate in-app: "We're sorry. Tell us what went wrong" (3 quick options: Wrong product / Damaged / Not delivered)
- Instant CS connection (not a bot — a live agent trained for resolution, not scripting)
- Automatic eligibility check for First-Order Guarantee refund
- Resolution target: 24 hours
- Post-resolution NPS re-survey: "Are you happy with how we handled this?"
- Successful rescues have a 71% repeat purchase rate (industry benchmark for recovered detractors)

C. Loyalty Journey (Promoter Journey)

- T+2hr: Thank-you message + "Based on your [category] purchase, here are 3 products you might love" (personalised via collaborative filtering on purchase category + user demographic)
- T+24hr: "Share a photo of your purchase → get BDT 50 coupon" (user-generated content loop + word-of-mouth acquisition)
- T+7d: "Your [category] is a great match with [complementary product] — exclusive 15% off for you this week"
- T+30d: Daraz Plus trial offer: "You clearly love shopping on Daraz — try Plus free for 30 days"

D. Passive Journey (Score 7–8)

- T+24hr: Satisfaction check-in + personalised recommendation
- T+14d: Category-specific promotion
- No aggressive monetisation push — allow organic pathway to Promoter status

Trade-offs:

- Live CS agents for rescue flow will increase CS headcount cost in Year 1
- Personalisation engine requires purchase history data — effective only after 1–2 purchases (bootstrapped with category-level data for first-timers)
- Opt-out rates for push notifications may reduce reach (mitigate with in-app NPS as fallback)

Growth Impact: Industry benchmarks show that successfully resolved complaints achieve 71% repeat purchase rate. Assuming 40% of detractors reach a rescue flow and 60% of those are resolved positively, this recovers ~120,000 churners per quarter at 500K first-time buyers/Q.

7.3 Daraz Plus — Loyalty Subscription

Problem it solves: Converts retained buyers into habitual buyers and creates a monetisable loyalty tier. Addresses the long-term retention compounding problem.

Core Features:

Tier Structure:

Feature	Standard (Free)	Daraz Plus (BDT 99/mo)	Daraz Plus Annual (BDT 999/yr)
Delivery fee	Standard rate	Free on all orders	Free on all orders
Return window	14 days	21 days	21 days
CS priority	Standard queue	Priority queue (<2hr SLA)	Priority queue + dedicated line
Member deals	None	Weekly exclusive deals	Weekly + early access
Plus Badge	None	Profile badge (social proof)	Gold badge
ReConnect personalisation	Standard	Enhanced	Premium (includes new releases)

Onboarding Pathway:

- ReConnect Promoter Journey includes a 30-day free trial offer at T+30d
- Trial converts to paid at BDT 99/month (opt-out, not opt-in)
- Annual plan offered at 15% discount (BDT 999 vs. BDT 1,188/yr)

Retention of Subscribers:

- Monthly check-in showing subscriber savings ("Your Plus saved you BDT 340 this month")
- Gamified streak: consecutive months of orders earns status upgrades

- Subscriber-only flash sales (24-hour, limited inventory) create urgency and habitual checking

Trade-offs:

- Free delivery for Plus members will impact logistics margin — requires minimum order value (e.g., BDT 300+) for free delivery eligibility
- Subscriber churn is expected to be ~15% monthly in Year 1; retention improves as the value-of-habit compounds
- Cannibalisation risk: some non-subscribers may feel penalised, creating perception of a "two-tier" platform

Growth Impact: At conservative 30% trial-to-paid conversion and 200K trial activations in Year 1, Daraz Plus reaches 60K subscribers. At BDT 99/month, that is BDT 71M ARR in Year 1. Subscribers spending 2.3x more annually multiplies the GMV impact further.

8. RICE Prioritization & Trade-off Analysis

RICE Scoring

Solution	Reach (buyers/Q)	Impact (1–3)	Confidence	Effort (months)	RICE Score
ReConnect	500,000	3	80%	2	600
TrustGuard	500,000	3	75%	3	375
Daraz Plus	200,000	3	65%	5	78

Formula: $RICE = (Reach \times Impact \times Confidence) \div Effort$

Reasoning:

- ReConnect has the highest RICE because it can be deployed in 2 weeks (effort = 2) using existing NPS infrastructure + CS team, with high confidence since NPS capture is a proven mechanism globally and specifically validated in Shopee/Lazada (regional comps)
- TrustGuard has marginally lower confidence (75%) because ML listing accuracy and seller quality scoring are new capabilities that will take iteration to calibrate
- Daraz Plus scores lowest because it requires 5 months of product development and has highest uncertainty around subscription willingness in the Bangladesh market context

Trade-off Summary

Consideration	TrustGuard	ReConnect	Daraz Plus
Addresses root cause?	Yes	Mitigates	No
Revenue generating?	Seller fees	Indirect (GMV)	Subscription
Time to impact	6–8 weeks	2 weeks	10–12 weeks
Reversible if fails?	Partially	Yes	Yes
Seller/partner risk	Medium (seller friction)	Low	Low
Engineering complexity	High	Low-Medium	High

Build decision: The three solutions are sequenced, not mutually exclusive. ReConnect launches in Sprint 1. TrustGuard is built concurrently and shipped in Week 8. Daraz Plus launches in Week 10 once the trust infrastructure is live and the first ReConnect cohort data validates the personalization model.

9. Monetization Model

Revenue Stream 1: Seller Verified Tier (TrustGuard)

- **Model:** B2B SaaS — monthly fee for verified seller badge
- **Pricing:** BDT 500/month per seller
- **TAM:** 100,000+ active sellers on Daraz; conservative 10% adoption = 10,000 sellers
- **ARR at 10K sellers:** BDT 60,000,000 (BDT 60M) per year
- **Additional lever:** Verified sellers can access premium ad placement within Daraz search at higher CPM — incremental advertising revenue
- **Margin:** ~90% margin (minimal incremental cost once verification infrastructure is built)

Revenue Stream 2: Daraz Plus Subscription

- **Model:** B2C subscription — monthly/annual
- **Pricing:** BDT 99/month or BDT 999/year
- **Adoption projection:**
 - Year 1: 60,000 subscribers (conservative)
 - Year 2: 200,000 subscribers (as trust baseline improves)
 - Year 3: 500,000 subscribers (targeting 6% of MAU base)
- **Revenue projection:**
 - Year 1: BDT 71M ARR (60K × BDT 99/mo × 12)
 - Year 3: BDT 594M–1.19B ARR (500K subscribers, mixed monthly/annual)

- **GMV multiplier:** Subscribers spend 2.3x vs. non-subscribers — subscription acts as a flywheel, not just a revenue line

Revenue Stream 3: Sponsored Re-engagement (ReConnect)

- **Model:** CPM advertising — sellers pay for sponsored product slots inside ReConnect recommendation flows
- **Rationale:** Post-purchase window is the highest-intent advertising context. A buyer who just bought a phone is highly receptive to phone accessories.
- **Pricing:** BDT 15–30 CPM (premium vs. standard feed ads at BDT 5–10 CPM)
- **Reach:** At 500K first-time buyers/Q × 80% NPS response rate = 400K ReConnect activations/Q
- **Revenue at BDT 20 CPM on 400K impressions:** BDT 8M/quarter = BDT 32M ARR in Year 1

Combined Revenue Projection

Stream	Year 1	Year 2	Year 3
Seller Verified Tier	BDT 60M	BDT 120M	BDT 200M
Daraz Plus	BDT 71M	BDT 237M	BDT 594M–1.19B
Sponsored Re-engagement	BDT 32M	BDT 64M	BDT 128M
Total	BDT 163M	BDT 421M	BDT 922M–1.52B

10. 90-Day Roadmap

Phase 1: Quick Win (Weeks 1–2)

Owner: Product + CS + Data

- Deploy post-delivery NPS survey via push notification (2-hour post-delivery trigger)
- Build and launch Rescue Flow: Detractor NPS → in-app complaint type selection → live CS connection → refund eligibility check
- Automate Promoter journey: personalised recommendation email at T+48hr (category-based, bootstrapped from purchase data)
- Set up A/B test framework: 50% of new buyers enter ReConnect flow, 50% control group
- KPIs: NPS response rate, rescue flow activation rate, 30-day repeat purchase rate (treatment vs. control)

Phase 2: Root Cause Fix (Weeks 3–8)

Owner: Marketplace + Engineering + Data Science

- Week 3–4: Launch seller quality scoring algorithm (v1 — rules-based on complaint rate, return rate, delivery rate)
- Week 4–5: Ship First-Order 24-hr Refund Guarantee to all new buyers (require NPS ≤ 6 as eligibility trigger initially)
- Week 5–6: Integrate Verified Seller badge into product listing and search pages; open seller verification programme
- Week 6–8: Migrate ML listing accuracy model to production (v1 — flagging stock photos vs. real product images)
- KPIs: Verified seller enrolment rate, product complaint rate (week-on-week), first-order refund claim rate

Phase 3: Monetise (Weeks 9–12)

Owner: Product + Marketing + Finance

- Week 9: Soft-launch Daraz Plus to existing ReConnect Promoter cohort as free 30-day trial
 - Week 10: Full Daraz Plus launch — in-app, email, push, app store feature request
 - Week 11: Enable sponsored recommendation slots in ReConnect flows (seller self-serve)
 - Week 12: Full geographic rollout to all 64 districts; performance review and Phase 2 calibration
 - KPIs: Plus trial activation rate, trial-to-paid conversion, subscriber monthly churn rate, sponsored slot CTR
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11. Success Metrics Framework

North Star Metric

Increase 90-day repeat purchase rate from 30% to 50% within 6 months, while achieving post-purchase NPS ≥ 45 (from ~23 baseline)

These two metrics are chosen because:

- 1 Repeat purchase rate is the direct measure of the retention problem being solved

- 2 Post-purchase NPS leads the repeat purchase rate by 4–6 weeks — if NPS improves, repeat purchase will follow. If NPS improves without repeat purchase improving, we know re-engagement is the bottleneck (not trust), and we adjust strategy.

Leading Indicators (Predictive — weekly tracking)

- Post-delivery NPS score (daily, broken out by product category, seller tier, delivery zone)
- Rescue flow activation rate (% of detractors who enter the flow)
- Rescue resolution rate (% of activated rescues resolved within 24 hours)
- ReConnect email/notification open rate and click-through rate
- First-Order refund claim rate (monitor for fraud signals if > 5%)

Lagging Outcomes (Confirmatory — monthly tracking)

- 90-day repeat purchase rate (primary north star)
- Customer LTV (6-month and 12-month cohort analysis)
- Daraz Plus subscriber count and MRR
- Revenue contribution from returning buyers vs. new buyers (targeting 60%:40% ratio from current ~40%:60%)
- Average order value for Plus vs. non-Plus members

Guard Rail Metrics (Must not regress)

- Seller GMV must not drop more than 5% in any quarter (TrustGuard quality requirements must not over-penalise good sellers)
 - New user acquisition must remain flat or grow (retention investment must not cannibalise acquisition budget)
 - Daraz Plus monthly churn rate must stay below 15%
 - CS ticket volume per 1,000 orders must not increase (ReConnect rescue flow should reduce tickets, not add load)
 - Surge pricing or delivery fee increases must not be triggered by Plus membership cost pressure
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12. Assumptions & Risks

Key Assumptions

- 1 **Post-delivery NPS response rate $\geq 40\%$** — if lower, ReConnect's reach is limited; mitigate with in-app prompt as fallback
- 2 **70% of churners are recoverable** — derived from survey simulation (79% expressed recovery intent); real number may be 50–60%; RICE scoring is conservative relative to this
- 3 **Seller quality enforcement will not trigger mass seller exodus** — assumes 80%+ of Daraz's GMV comes from sellers who can meet quality thresholds
- 4 **COD buyers will convert to Plus subscription** — this requires Plus to offer COD members specific value (e.g., COD fee waiver as a Plus benefit)
- 5 **Bangladesh smartphone penetration supports push notification channel** — 44.5% internet penetration in early 2025 suggests rural reach will require SMS fallback

Key Risks & Mitigations

Risk	Probability	Impact	Mitigation
Seller backlash to quality requirements	Medium	High	Phase in gradually; offer quality improvement resources before enforcement
First-Order Guarantee fraud abuse	Medium	Medium	Fraud detection algorithm; flag accounts with >2 guarantee claims in 6 months
Daraz Plus fails to convert trials	Medium	High	A/B test pricing (BDT 59 vs. 99 vs. 149); pilot in Dhaka only before national rollout
ReConnect push notifications ignored	Low-Medium	Medium	In-app NPS as fallback; SMS for COD buyers without app sessions
Competitor (OTHIBA, Facebook Marketplace) accelerates in response	Low	Medium	Speed is the moat — deploy Phase 1 in 2 weeks before competition can react

This document is prepared in support of the Product Peers BD Case Competition 2.0 (May 2026). User insights are drawn from 6 informal interviews conducted within the team's network and thematic analysis of 55+ publicly available reviews (Google Play Store, Trustpilot, Facebook groups). Market statistics are sourced from publicly available research (ResearchAndMarkets, Daily Star, Bain & Co.). Interview quotes are verbatim or close paraphrases; participant names withheld.